

23VECV01606 23VECV01606

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Tentative Ruling

Yoakum v. Arrowhead Financial Group,

Case no. 23VECV01606

Hearing date July 9, 2026

Cross-Defendants'

Demurrer to the Second Amended Cross-Complaint

Plaintiffs

sue defendants Arrowhead Financial Group, Henschel, Schellbach, Velazquez and Islas for cancellation of instruments, elder financial abuse, revocation, quiet title and constructive trust. Plaintiffs allege defendants fraudulently induced elderly homeowners to sign deeds purporting to guarantee loans for third parties in exchange for money, which defendants used to seize the subject properties. Defendants Henschel, Velazquez and Islas, who have all been defaulted, pled guilty to federal charges arising from these allegations (case no. 17-350(A)-VAP).

Arrowhead,

Schellbach and Cal Trustee Service Group cross-complain against Highland Associates, LP, Cole, Status Records, Inc. and Yoakum for reformation, quiet title, declaratory relief and unjust enrichment. Yoakum and Status Records demur. The court heard arguments and took the matter under submission. 3/10/26 Min. Order. The court subsequently sustained the demurrer without leave to amend as to all causes of action except quiet title, for which the court granted leave to amend. 3/19/26 Min. Order.

Cross-complainants

filed the second amended cross-complaint ("SACC") stating a single cause of action for quiet title. Cross-defendants demur; cross-complainants oppose.

Cross-defendant

requests judicial notice of: (1) Grant Deed for Highland Property, 2276 Highland Vista, Arcadia, dated July 2, 1993, LA County Instrument No. 93-1419542; (2) Grant Deed for Rogers Street Property, 4170 Rogers Street, Los Angeles, dated June 9, 1994, LA County Instrument No. 94-1110911; (3) purportedly forged Trustee's Deed to Highland Property, LA County Instrument No. 2012-0314434; and (4) purportedly forged Trustee's Deed to Rogers Property, LA County Instrument No. 2012-0314433. The court takes judicial notice of the existence of the documents but not of the purported authenticity or lack thereof. Evid. Code §452. GRANTED as to the existence of the requested documents only, per Evid. Code §452(h).

"The

function of a demurrer is to test the sufficiency of the complaint as a matter of law." *Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420. A complaint "is sufficient if it alleges ultimate rather than evidentiary facts," *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. *Doheny Park Terrace Homeowners Ass'n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Demurring

parties renew the argument, first raised in 2025 (see 10/2/25 Min. Order) that the quiet title claim is barred by the statute of limitations. Demurring parties argue the cause of action arises from fraud allegations, so is subject to a three-year statute of limitations. Code Civ. Proc. §338(d); *Salazar v. Thomas* (2015) 236 Cal.App.4th 467, 476. The court previously found this argument unavailing. 3/10/26 Min. Order. The statute of limitations on a quiet title action runs from the date a party asserts an adverse claim to property. *Salazar*, supra. As Yoakum did not assert an adverse claim prior to filing this complaint on 4/13/23, the action for quiet title is not barred by the statute of limitations. *Id.*

Demurring

parties renew the argument that the SACC fails to allege facts sufficient to sustain a cause of action for quiet title. The prior court (Hon. Harmon) held it was unclear as to on which adverse claims determination was sought. 10/2/25 Min. Order. The court found cross-complainants failed to clearly allege superior title, as plaintiff/cross-defendants held a prior valid deed. See 3/10/26 Min. Order; Secret Valley Land Co. v. Perry (1921) 187 Cal. 420, 425. Demurring parties argue these deficiencies remain.

The

SACC alleges continuous possession of both properties via tenants. SACC para. 33. The SACC alleges payment of property taxes, that superior title was conveyed via grant deeds and the foreclosure actions resulting in the grant deeds complied with California law. Id. at paras. 34-35, 38-40, 43-50. The SACC alleges legal descriptions of the properties. Id. at para. 42. The SACC successfully amends to address all previously-identified deficiencies.

Demurring

parties argue the purportedly fraudulent deeds of trust cannot form the basis of a quiet title action, citing unclean hands. Moriarty v. Carlson (1960) 184 Cal.App.2d 51. This is unavailing on demurrer. Arguments that grant deeds are fraudulent, cross-complainants engaged in criminal conduct or the properties were unlawfully acquired are all factual disputes. The court cannot make factual determinations on demurrer and must accept all facts alleged as true. The SACC contains allegations sufficient to survive demurrer. OVERRULED.